

Article of Association

As per Section 2(5) of the Companies Act, 2013 (hereinafter referred to as “the Act”), ‘articles’ means *“the articles of association of a company as originally framed or as altered from time to time or applied in pursuance of any previous company law or of this Act.”*

- The Articles of a Company are its Bye Laws or Rules and Regulations that govern the management of its internal affairs and the conduct of its business.
- The AOA is subordinate to and are controlled by the MOA.
- The MOA lays down the powers and scope of the Company, and articles govern the ways in which the objects of the company are to be carried out.

Forms and Contents of Article of Association

- Companies Act provides that the articles of association of a company should be in respective Forms specified in Tables F, G, H, I and J of Schedule I to the Act, as may be applicable to such company.
- The Form in Table F is applicable to companies limited by shares; the Form in Table G is applicable to companies limited by guarantee and having a share capital; the Form in Table H is applicable to the companies limited by guarantee and not having a share capital; the Form in Table I is applicable to unlimited companies and having a share capital; whereas the Form in Table J is applicable to unlimited companies and not having a share capital.
- A company may adopt all or any of the regulations of the aforesaid Model Articles. If duly registered articles of a company do not expressly exclude or modify the regulations contained in applicable model articles, such regulations shall apply as if they were contained in the duly registered articles of a company.

Entrenchment Provisions in the Articles (Section 5)

- A new provisions on entrenchment has been provided under the Companies Act, 2013 which provides that articles may contain provision for entrenchment to the effect that the specified provisions of articles can be altered only if the more restrictive conditions or procedures as compared to those applicable in case of special resolution are met or complied with.
- Such provision for entrenchment in the articles shall only be made either at the time of formation of a company, or by an amendment in the articles agreed to by all the members of the company in the case of a private company and by a special resolution in the case of a public company. It is further provided that the company shall give notice to the ROC of Entrenchment provisions in the prescribed form.

CONTENT OF ARTICLE OF ASSOCIATION

The contents of AOA should be in sync with the Memorandum of Association and the Companies Act, 2013.

Contents of AOA:

1. Details regarding the share capital
2. Details of director's qualification, appointment, powers, remuneration, duties etc.
3. Rules regarding company dividends and reserves
4. Details regarding company accounts and audit
5. Provisions relating to the company's borrowing powers
6. Provisions relating to conducting meetings
7. Process of winding up of the company

Difference between Memorandum of Association and Article of Association

Particulars	MOA	AOA
Description	Defines the company's constitution, powers, objectives, and constraints of the organisation.	Defines rules and regulations of the company. It also defines the duties, powers, liabilities and rights of individuals associated with the organisation.
Contents	It contains the five mandatory clauses excluding Capital Clause that is applicable on companies with share capital.	It contains the provisions as per the requirements of the organisation.
Area of operation	It defines the relationship between the company and third parties.	It defines the relationship between the company and its members and also amongst members.

Difference between Memorandum of Association and Article of Association

Particulars	MOA	AOA
Importance and position	MOA is a supreme legal document and subordinate to the Companies Act.	AOA is subordinate to the MoA and the Companies Act.
The relationship between the two	MOA is a dominant document that helps in the drafting of the AoA.	Any provision in the AOA that contradicts the MoA is considered as null and void.
Acts done beyond its scope	The acts done beyond the scope of MOA are void and cannot be ratified.	The acts done beyond the scope of AOA can be ratified by shareholders.